UNIT – BUSINESS ETHICS

Ethical Codes in Business

Promoting honesty, integrity, fairness, environmental sustainability, community engagement, rights and transparency in business conduct.

BBA – BUSINESS ENVIRONMENT

What We Will Cover

1. **Foundations**
   Business ethics & codes of conduct
2. **Honesty**
   Truthfulness in business dealings
3. **Integrity**
   Consistency between values & action
4. **Fairness**
   Equity for all stakeholders
5. **Sustainability**
   Environmental responsibility
6. **Community Engagement**
   Giving back to society
7. **Rights**
   Protecting stakeholder rights
8. **Transparency**
   Open, honest disclosure

What Is Business Ethics?

Business Ethics

The set of moral principles and standards that guide behaviour and decision-making in the world of business.

- ✓ **Applies to everyone** — From the boardroom to the shop floor — owners, managers, and employees alike.
- ✓ **Goes beyond the law** — Legal compliance is the minimum; ethics asks “is it right?” not just “is it legal?”
- ✓ **Builds trust** — Ethical behaviour earns the confidence of customers, investors, and society.

What Is a Code of Ethics?

Code of Ethics

A formal, written document that states an organisation's core values and the standards of conduct expected from everyone within it.

✓ **Sets expectations**	Clearly tells employees what is acceptable and unacceptable behaviour.
✓ **Guides decisions**	Offers a reference point when employees face difficult or grey-area choices.
✓ **Example**	Infosys' Code of Conduct and Ethics commits every employee to integrity and fairness in all dealings.

Why Ethical Codes Matter

Ethical codes are not just paperwork — they shape how a business is seen and how it survives

Builds Reputation

A strong ethical image attracts loyal customers and investors, e.g. Tata Group's century-old reputation for trust.

Reduces Legal Risk

Prevents costly lawsuits, penalties and regulatory action by keeping conduct within accepted norms.

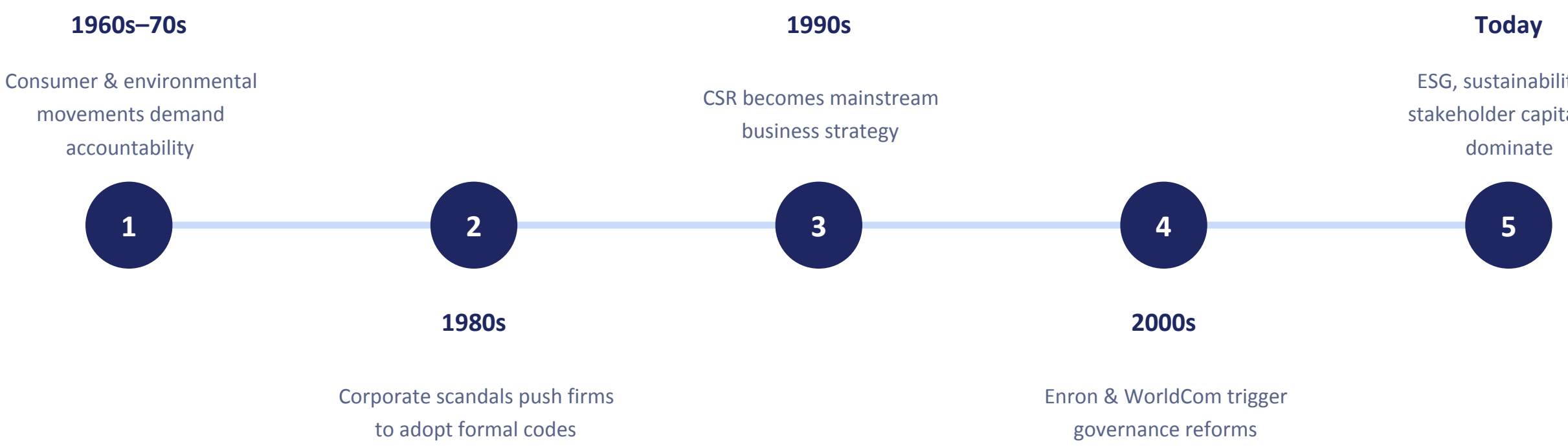
Improves Employee Morale

People are proud to work for a fair, honest organisation — improving retention and productivity.

Ensures Long-Term Survival

Firms like Enron collapsed from ethical failure; ethical firms sustain growth over decades.

Evolution of Business Ethics



Types of Ethical Codes

Organisations typically use one or more of these formal instruments

Code of Conduct

Specific rules of behaviour — e.g. anti-bribery, dress code, use of company assets.

Code of Ethics / Values

Broad principles reflecting the organisation's mission, e.g. “integrity, respect, excellence.”

Compliance Code

Ensures adherence to laws — tax, labour, data protection, competition law.

Professional Code

Industry-specific standards, e.g. codes for chartered accountants, doctors, bankers.

Stakeholders Affected by Business Ethics

Internal Stakeholders

- Employees and management
- Owners and shareholders
- Board of directors

External Stakeholders

- Customers and suppliers
- Government and regulators
- Community and environment

H

PILLAR 1 OF 6

Honesty

Being truthful and straightforward in every business dealing, big or small.

What Is Honesty in Business?

Honesty

The practice of being truthful, accurate, and straightforward in communication, advertising, reporting, and dealings with all parties.

- ✓ **Truthful advertising** — Not exaggerating or misleading customers about products or services.
- ✓ **Accurate reporting** — Presenting true financial statements and performance data.
- ✓ **Open communication** — Admitting mistakes and sharing information honestly with stakeholders.

Why Honesty Matters

Customer Trust

Honest brands build repeat customers and positive word-of-mouth.

Investor Confidence

Accurate disclosures attract and retain long-term investment.

Employee Loyalty

Staff stay longer with employers who communicate honestly.

Regulatory Goodwill

Honest firms face less scrutiny and smoother approvals.

P

CASE STUDY

Patagonia

Radical honesty in marketing and product life-cycle

WHAT HAPPENED

In a famous 2011 ad, Patagonia told customers “Don't Buy This Jacket”, urging them to consider the environmental cost of over-consumption before buying — even though it meant fewer sales.

★

KEY LESSON

Being honest about the true cost of a product — even against short-term sales — builds deep, lasting customer trust.

V

CASE STUDY

Volkswagen

The cost of dishonesty — the 2015 “Dieselgate” scandal

WHAT HAPPENED

Volkswagen installed software in diesel vehicles to cheat emissions tests, making cars appear far cleaner than they were. When discovered, the company faced billions of dollars in fines and lasting reputational damage.

★

KEY LESSON

Dishonesty may boost results briefly, but discovery brings financial loss, legal action, and years of rebuilding trust.

How Businesses Practise Honesty

Truth in Advertising

Claims about products must be accurate and provable.

Accurate Financial Reporting

No manipulation of accounts or hidden liabilities.

Fair Contracts

Full disclosure of terms — no hidden clauses or fine print traps.

Owning Mistakes

Publicly acknowledging errors, e.g. product recalls done proactively.

I

PILLAR 2 OF 6

Integrity

Acting consistently with strong moral principles, even when no one is watching.

What Is Integrity?

Integrity	Adherence to strong moral and ethical principles consistently — doing the right thing even when it is difficult or unobserved.

✓ **Consistency**	Words and actions match, in public and in private.
✓ **Accountability**	Taking responsibility for decisions and their outcomes.
✓ **Moral courage**	Standing by ethical principles even under pressure to compromise.

Integrity in Leadership

Leaders set the ethical tone for the entire organisation

Walking the Talk

Leaders must practise the values they preach — employees follow behaviour, not slogans.

Consistent Decisions

Applying the same standards to every employee, deal, and situation.

Accountability at the Top

Owning up to organisational failures rather than deflecting blame.

CASE STUDY

Tata Group

Integrity as a founding pillar of business

WHAT HAPPENED

For over 150 years, the Tata Group has built its reputation on “Leadership with Trust”. Even during the 2008 Mumbai terror attacks at the Taj Hotel, Tata staff risked their lives for guests, reflecting integrity embedded in culture, not just policy.

KEY LESSON

When integrity is built into organisational culture — not just written in a manual — it shows up in real decisions, especially in a crisis.

Integrity vs. Mere Compliance

Compliance-Driven Behaviour

- Follows rules to avoid punishment
- Looks for loopholes in the law
- Ethics stops where the law stops

Integrity-Driven Behaviour

- Does the right thing voluntarily
- Upholds the spirit, not just the letter
- Ethics guides action beyond the law

The Cost of Integrity Failures

$3.6T+

Estimated annual global cost of fraud and corruption to organisations

50%+

Of major corporate scandals trace back to leadership integrity failures

Years

Typical time needed for a brand to rebuild trust after a scandal

Illustrative figures used for classroom discussion — the pattern matters more than the precise number: ethical lapses are expensive and slow to repair.

F

PILLAR 3 OF 6

Fairness

Treating all stakeholders — employees, customers, and partners — equitably and without bias.

What Is Fairness in Business?

Fairness

Treating employees, customers, suppliers, and competitors equitably, without discrimination, favouritism, or exploitation.

✓ **Equal opportunity** — Hiring, pay, and promotion decisions based on merit, not bias.

✓ **Just dealing** — Fair prices, honest contracts, and reasonable terms for all parties.

✓ **Non-exploitation** — Not taking advantage of weaker parties such as small suppliers or vulnerable customers.

Fair Treatment of Employees

Equal Pay for Equal Work

No wage gaps based on gender, caste, or background for the same role.

Non-Discrimination

Fair hiring and promotion regardless of religion, gender, or disability.

Merit-Based Growth

Promotions and rewards tied to performance, not favouritism.

Safe Workplace

Freedom from harassment, and safe physical working conditions.

Fair Trade & Supplier Practices

Timely Payments

Paying suppliers, especially small vendors, on agreed schedules.

Reasonable Terms

Not forcing suppliers into unfair contracts due to size or bargaining power.

Fair Trade Certification

Guarantees farmers and producers a fair minimum price for goods like coffee and cocoa.

B

CASE STUDY

Ben & Jerry's

Fair Trade sourcing across the supply chain

WHAT HAPPENED

Ben & Jerry's committed to sourcing key ingredients — cocoa, coffee, vanilla, sugar — as Fair Trade Certified, guaranteeing farmers a fair, stable price regardless of market swings.

★

KEY LESSON

Fairness can be built directly into sourcing decisions, protecting the livelihoods of the weakest links in the supply chain.

Fair Pricing vs. Price Gouging

Fair Pricing

- Reflects true cost plus reasonable margin
- Consistent across customers
- Builds long-term customer loyalty

Price Gouging

- Exploits shortages or emergencies
- Charges as much as market will bear
- Damages reputation and invites regulation

E

PILLAR 4 OF 6

Environmental Sustainability

Conducting business in a way that protects natural resources for future generations.

What Is Environmental Sustainability?

Sustainability

Operating a business in a manner that meets present needs without compromising the ability of future generations to meet their own needs.

- ✓ **Resource efficiency** — Minimising use of water, energy, and raw materials.
- ✓ **Pollution control** — Reducing emissions, waste, and hazardous discharge.
- ✓ **Circular thinking** — Designing products for reuse, repair, and recycling.

The Triple Bottom Line

Sustainable business balances three goals, not one

P

People

Fair treatment of employees, customers, and communities.

⊕

Planet

Protecting the environment through responsible operations.

↑

Profit

Remaining financially viable and competitive.

Sustainable Business Practices

Renewable Energy

Shifting factories and offices to solar and wind power.

Waste Reduction & Recycling

Minimising landfill waste through recycling and reuse programmes.

Sustainable Sourcing

Using certified, responsibly harvested raw materials.

Green Product Design

Creating energy-efficient, biodegradable, or durable products.

I

CASE STUDY

IKEA

Sustainable sourcing at global scale

WHAT HAPPENED

IKEA has committed to sourcing all its wood and cotton from more sustainable sources and aims to become “climate positive”, investing heavily in renewable energy and circular product design across its stores worldwide.

★

KEY LESSON

Large-scale sustainability commitments require long-term investment, but they build resilience and brand strength.

U

CASE STUDY

Unilever

The Unilever Sustainable Living Plan

WHAT HAPPENED

Unilever integrated sustainability into its core strategy — reducing environmental footprint while doubling business size — covering water use, packaging waste, and greenhouse gas emissions across its global brands.

★

KEY LESSON

Sustainability and business growth are not opposites — they can be pursued together as a single strategy.

Why It Matters — The Numbers

3 in 4

Consumers say they consider sustainability when making a purchase

1.5°C

Global warming limit that businesses are urged to help stay within

90%

Of packaging waste that could potentially be recycled or reduced

Illustrative figures for discussion — the trend is clear: sustainability has moved from "nice to have" to a core business expectation.

C

PILLAR 5 OF 6

Community Engagement

Actively contributing to the well-being of the communities a business operates in.

What Is Community Engagement?

Community Engagement

The process by which a business builds relationships with, and contributes resources to, the local communities affected by its operations.

- ✓ **Beyond profit** — Recognising the business owes something to the society that supports it.
- ✓ **Two-way relationship** — Listening to community needs, not just donating money.
- ✓ **Part of CSR** — Often delivered through Corporate Social Responsibility programmes.

CSR & Community Engagement

Common areas where businesses invest in communities

Education

Scholarships, school infrastructure, and skill-training programmes.

Healthcare

Free clinics, health camps, and hospital support in local areas.

Local Development

Building roads, sanitation, and clean water access.

Employment Generation

Prioritising local hiring and skill development.

CASE STUDY

Tata Group

Decades of community development in India

WHAT HAPPENED

Tata Steel developed the town of Jamshedpur with schools, hospitals, and housing for workers and residents long before CSR was legally mandated in India, embedding community welfare into its business model from the start.

KEY LESSON

Community investment can be a founding principle of a business, not an afterthought bolted on for image.

CASE STUDY

Infosys Foundation

Structured giving through a dedicated foundation

WHAT HAPPENED

Infosys created a dedicated foundation to fund education, healthcare, rural development, and disaster relief across India, channelling a share of company resources into sustained, measurable community programmes.

KEY LESSON

A structured foundation allows a company to engage with communities professionally, consistently, and at scale.

Benefits of Community Engagement to Business

Stronger Brand Image

Customers favour companies seen as socially responsible.

Employee Pride

Staff feel proud working for a company that gives back.

Social Licence to Operate

Communities are more supportive of local business operations.

Long-Term Stability

Good community relations reduce local conflict and disruption.

R

PILLAR 6 OF 6

Rights & Transparency

Respecting stakeholder rights and being open and honest about business conduct.

Business and Human Rights

Stakeholder Rights

The recognition that employees, customers, and communities hold basic rights that businesses must respect in the course of their operations.

✓ **Not optional**

Rights are a baseline obligation, not a matter of company discretion.

✓ **Global frameworks**

The UN Guiding Principles on Business and Human Rights set global expectations.

✓ **Applies across the chain**

Businesses are responsible for rights impacts in their supply chains too.

Employee Rights

Fair Wages

Payment that meets or exceeds minimum wage and reflects the work done.

Safe Workplace

Protection from physical hazards and occupational health risks.

Freedom of Association

The right to join unions and engage in collective bargaining.

Freedom from Discrimination

Equal treatment regardless of gender, religion, or background.

Consumer Rights

Recognised under frameworks such as India's Consumer Protection Act

Right to Safety

Protection against hazardous goods and services.

Right to Information

Accurate details on quality, quantity, and price.

Right to Choose

Access to a variety of goods at competitive prices.

Right to Redressal

Fair settlement of genuine grievances and complaints.

Stakeholder Rights at a Glance

Employees

- Fair wages & safe conditions
- Freedom of association
- Protection from discrimination

Customers

- Safety & accurate information
- Freedom of choice
- Right to complaint redressal

Legal Framework Protecting Rights

Legal Backing

Governments codify many ethical expectations into enforceable law, giving stakeholder rights legal teeth.

- ✓ **Consumer Protection Act** — Protects buyers against unfair trade practices and defective goods.
- ✓ **Labour & Industrial Laws** — Set minimum wages, working hours, and safety standards.
- ✓ **Environmental Regulations** — Mandate pollution control and sustainable resource use.

T

PILLAR 7 OF 6

Transparency

Openly sharing accurate information about decisions, performance, and practices.

What Is Transparency in Business?

Transparency

The practice of openly and clearly sharing accurate information about a company's decisions, performance, and practices with stakeholders.

- ✓ **Open disclosure** — Sharing both good and bad news, not just favourable results.
- ✓ **Accessible information** — Making information understandable, not buried in jargon.
- ✓ **Consistency** — Reporting the same way over time so stakeholders can trust the data.

Importance of Transparency

Builds Trust

Stakeholders trust what they can verify and understand.

Ensures Accountability

Open information makes it harder to hide wrongdoing.

Strengthens Investor Relations

Clear disclosure attracts confident, long-term investors.

Supports Better Decisions

Employees and managers act better when information flows freely.

Financial Transparency & Reporting

Accurate Financial Statements

True and fair view of profit, assets, and liabilities.

Independent Audits

External verification of company accounts.

Clear Disclosures

Explaining risks, related-party deals, and executive pay openly.

E

CASE STUDY

Enron

A transparency failure that changed corporate law

WHAT HAPPENED

Enron used complex off-balance-sheet entities to hide massive debts from investors and regulators. When the truth emerged in 2001, the company collapsed within weeks, wiping out thousands of jobs and pensions.

★

KEY LESSON

Hiding the truth from stakeholders may delay a crisis, but it ultimately destroys trust and the business itself — the scandal led to the Sarbanes-Oxley Act.

B

CASE STUDY

Buffer

Radical transparency as a competitive advantage

WHAT HAPPENED

Social media company Buffer made an unusual choice: it published every employee's salary formula publicly online, along with company revenue and diversity data, embracing transparency as a core value.

★

KEY LESSON

Radical openness, used deliberately, can become a brand differentiator and a magnet for talent who value honesty.

Transparent vs. Opaque Practices

Transparent Business

- Publishes clear financial reports
- Discloses risks and conflicts of interest
- Communicates bad news promptly

Opaque Business

- Hides information behind complexity
- Delays or downplays bad news
- Uses jargon to obscure meaning

How the Six Pillars Connect

Ethical codes work as an interconnected system, not isolated rules

Honesty enables Integrity

You cannot be consistent in values without first being truthful.

Fairness needs Transparency

You cannot judge if treatment is fair without open information.

Rights meet Sustainability

Protecting people's rights includes their right to a clean environment.

Community ties it together

Every pillar ultimately serves the wider community the business depends on.

Benefits of Ethical Codes to Organisations

Enhanced Reputation

Ethical firms attract loyal customers and top talent.

Reduced Legal Risk

Fewer lawsuits, penalties, and regulatory interventions.

Investor Confidence

Ethical, transparent firms are more attractive for long-term capital.

Sustainable Growth

Ethical practices support resilience through market cycles.

Challenges in Implementing Ethical Codes

Short-Term Profit Pressure

Ethics can seem to conflict with quarterly targets.

Weak Enforcement

A code without consequences becomes a document nobody follows.

Cultural Differences

Global firms must adapt codes across diverse legal and cultural contexts.

Employee Awareness

Codes fail if staff are never trained on what they mean in practice.

Role of Leadership in Building Ethics

Set the Tone at the Top

Leaders' visible behaviour signals what is truly valued.

Embed Ethics in Training

Regular training turns a written code into daily habit.

Reward Ethical Behaviour

Recognise and promote employees who model the code well.

Enforce Consistently

Apply consequences fairly, regardless of seniority.

Global Ethical Standards

Global Frameworks

International bodies have created common standards to guide ethical business conduct worldwide.

✓ **UN Global Compact**	A voluntary pact on human rights, labour, environment, and anti-corruption.
✓ **ISO 26000**	International guidance standard on social responsibility.
✓ **UN Sustainable Development Goals**	17 global goals guiding responsible business contribution to society.

Ethics vs. Legal Compliance

Legal Compliance

- Minimum standard set by law
- Mandatory — enforced by courts
- Answers: “Is it legal?”

Business Ethics

- Voluntary higher standard
- Enforced by conscience & culture
- Answers: “Is it right?”

Key Takeaways — The Six Pillars

H

Honesty

Be truthful in every dealing

I

Integrity

Match actions to values

F

Fairness

Treat all stakeholders equitably

E

Sustainability

Protect the environment

C

Community

Give back to society

R/T

Rights & Transparency

Respect rights, disclose openly



Thank You

Questions & Discussion — Business Environment: Ethical Codes in Business